



AVIATION AIRFARES

CALCULATING AIRFARES

- Lower fares are available on tickets booked on 90-, 60-, 30-, 15- and 7-day windows prior to flight departure
- Tickets purchased closer to the travel date can often be steeply priced
- Following the restoration of dynamic pricing, the share of the 0-7-day booking bucket increased by 12 per cent year-to-date, indicating more people are opting to book tickets closer to the travel date

SOURCE MAKEMYTRIP, BT RESEARCH

fleet, movement of crude prices and much more” come into play when determining prices, he explains.

Shrivastava has a point. Crude oil, for example, averaged \$65 a barrel in 2019 and \$100 in 2022. It even climbed to a monthly high of \$133 a barrel (spot prices) on March 8, 2022, on the back of the Russian military action in Ukraine. Other operational costs have also increased. By the middle of last year, most carriers had restored old salaries that were cut steeply during the height of the pandemic. Even costs associated with leasing or purchasing new aircraft are on the rise as a result of the current shortage of planes and rising metal costs. The prevailing high airfares are a direct consequence of all these factors.

Even though more and more Indians are travelling by air, not everyone is enamoured by the high fares. In May, 13.21 million passengers travelled by air as against 12.89 million the previous month, per data from the aviation regulator Directorate General of Civil Aviation (DGCA). Many believe Indian airlines are taking advantage of this jump in demand by charging exorbitant prices. A large part of the blame is attributed to domestic carriers not deploying full capacity on routes approved as part of the current summer schedule (from March 27 to October 29).

But many in the industry disagree. “If the allegation is that airlines are suppressing the capacity to command higher airfares, then such allegations are

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A TURBULENT FLIGHT PATH



THE INDUSTRY HAS POSTED A PROFIT ONLY ONCE IN THE PAST 10 YEARS, IN FY16, WHEN IT REPORTED A TOTAL PROFIT OF ₹223 CRORE



Year	Legacy	LCC	RA	Total
FY13	-7,514	654	0	-6,859
FY14	-11,151	-946	0	-12,097
FY15	-8,168	792	0	-7,377
FY16	-2,826	3,099	-50	223
FY17	-5,010	2,632	-81	-2,458
FY18	-6,538	3,627	-90	-3,001
FY19	-14,645	-1,286	-34	-15,966
FY20	-9,362	-3,130	-75	-12,566
FY21	-8,675	-9,705	-197	-18,577
FY22	-7,741	-11,804	-29	-19,574

NOTE: PROFIT/LOSS BEFORE TAX OF DOMESTIC AIRLINES; **FIGURES** IN ₹ CRORE
LCC LOW-COST CARRIER; **RA** REGIONAL AIRLINE; **SOURCE** INDUSTRY, BT RESEARCH